COURT FILE NUMBER	2501-09028	Clerk's Stamp
COURT	COURT OF KING'S BENCH OF ALBERTA	
JUDICIAL CENTRE	CALGARY	
	IN THE MATTER OF THE BANKRUPTCY AND INSOLVENCY ACT, RSC, 1985, C. B-3, AS AMENDED AND IN THE MATTER OF THE RECEIVERSHIP OF 2755857 ALBERTA LTD.	
APPLICANT	UCAPITAL – ULOAN SOLUTIONS INC	
RESPONDENT	CLEO ENERGY CORP	
DOCUMENT	**MEMORANDUM OF FACT AND LAW ON BEHALF OF HIS MAJESTY THE KING IN RIGHT OF CANADA as represented by the Minister of Employment and Social Development Canada**	
PARTY FILING THIS DOCUMENT	HIS MAJESTY THE KING IN RIGHT OF CANADA as represented by the Minister of Employment and Social Development Canada	
ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT	Department of Justice Canada 300, 10423 – 101 Street NW Edmonton, AB T5H 0E7 Attention: Daniel Segal Tel: 587-335-9341 Fax: 780-495-3319 File: 500276439	

INDEX

Page #

PART I - OVERVIEW 3

PART II - STATEMENT OF FACTS 4

PART III - ISSUES 5

PART IV – LAW AND ARGUMENT.....5

PART V - CONCLUSION 12

PART VI - RELIEF SOUGHT 12

PART VII – LIST OF AUTHORITIES 13

PART I – OVERVIEW

1. The Receiver seeks declarations regarding Wage Earner Protection Program ("**WEPP**") entitlement.

2. To do so, the Receiver requests this Court to declare that:

   (a) the Reverse Vesting Order granted November 14, 2025 ("**Revised RVO**") does not impact previously approved claims or payments made to former employees of Cleo Energy Corp. under the *Wage Earners Protection Program Act*[1] ("**WEPPA**"); and

   (b) an employee's entitlement under the WEPPA is determined at the time of termination and is not altered by the subsequent granting of the Revised RVO.

3. The Receiver is thereby seeking that this Court determine the impact of the Revised RVO on the WEPP applications of the terminated employees.

4. The Attorney General of Canada, on behalf of Employment and Social Development Canada, opposes the declarations sought.

5. The Receiver's proposed declarations would determine the legal effect of the Revised RVO on the individual former employees' entitlement to payments under a federal statutory benefits program, notwithstanding that the Minister has already made determinations under the *WEPPA* concerning those employees.

6. The statutory avenue of review and appeal is determined under the WEPPA. The precise legal issue that the Receiver asks this Court to determine, whether the Revised RVO altered the employees' entitlement under the WEPPA, is one that Parliament has assigned to the Minister and, on appeal, to the Canada Industrial Relations Board ("**CIRB**").

7. Pursuant to the WEPPA the Minister has sole and exclusive authority to determine whether an individual is eligible to receiver WEPP payments. Where an applicant disagrees with the Minister's decision, the legislation provides a specific review and appeal mechanism to the CIRB.

8. We respectfuly submit that this Honourable Court should decline to issue the declaration on the basis that the Superior Court lacks jurisdiction to make the declaration, or alternatively should decline to make the declaration in light of the prescribed review and appeal provisions set out in the WEPPA which has been

[1] *Wage Earner Protection Program Act*, SC 2005, c. 47, s. 1 ("WEPPA")

acted on by the applicants to the WEPP. Moreover, other than the Receiver asserting that it does not agree with the Minister's determination, the declarations sought serve no purpose in this receivership, nor the duties and obligations of the Receiver pursuant its mandate.

PART II – STATEMENT OF FACTS

9. On June 2, 2025 this Court granted a receivership order appointing Alvarez & Marsal Canada Inc. as receiver and manager of all the property of Cleo Energy Corp. ("**Cleo**").

10. The Receiver terminated the employees of Cleo shortly after the Receivership Order was issued.

11. The terminated employees (the "**WEPP Applicants**") applied to the WEPP in respect of outstanding wages owed at the time of their termination. The WEPP Applicants received WEPP payments.

12. The Receiver brought an application to approve a transaction through a reverse vesting order structure. That application was heard by Justice Feasby on October 17, 2025. Justice Feasby reserved his decision and provided parties the opportunity to provide additional written submissions, which ESDC and the Receiver provided[2].

13. Pursuant to a written decision dated October 28, 2025, Justice Feasby denied the application but provided leave for the Receiver to reapply. A further application for a sale by reverse vesting order was made by the Receiver, which was heard by Justice Bourque on November 14, 2025.

14. The Court issued a reverse vesting order for the sale of the shares of Cleo on November 14, 2025 and on the closing of that transaction Cleo exited the Receivership Proceedings and was replaced by 2755857 Alberta Ltd.

15. After Cleo exited the Receivership Proceedings, the Minister reconsidered the previous eligibility determinations of the WEPP Applicants and determined that they were not eligible for payments from the WEPP. The WEPP Applicants and the Receiver were informed of the redetermination decisions of the Minister.

16. The WEPP Applicants all exercised their statutory right to seek a review of the Minister's determinations pursuant the WEPPA.

[2] The additional materials provided to the Court included a letter the Court dated October 22, 2025 from Justice Canada on behalf of ESDC, and a Supplement to the First Report of the Receiver and a Reply Brief from the Receiver addressing the ESDC submission.

17. Following review, the Minister confirmed the determinations. Confirmations of the review decisions were provided to the WEPP Applicants and the Receiver.

18. Following the Minister's confirmations of the reconsidered decisions, the WEPP Applicants have a statutory right of appeal to the CIRB pursuant to s. 14(1) of the WEPPA.

19. To date, the Minister is not aware of any of the WEPP Applicants appealing the review decision to the CIRB.

20. The Receiver now seeks declarations from this Court that the Revised RVO does not affect previously approved WEPP claims or payments and that the employee's entitlement under the WEPPA was determined at the time of termination and cannot be altered by the subsequent granting of the Revised RVO.

21. The effect of the proposed declarations would be to establish, contrary to the Minister's determinations, that the Revised RVO did not alter employee's eligibility under the WEPPA.

PART III –ISSUES

22. Does the Court have the jurisdiction to make the declarations sought by the Receiver concerning the effect of the Revised RVO on the terminated employees' entitlement under WEPPA?

23. Should declarations sought by the Receiver be made by the Court?

PART IV – LAW AND ARGUMENT

24. The *WEPPA* was enacted to establish a federal program, the WEPP. It is designed to allow the federal government to make timely payments to former employees who are owed eligible unpaid wages by an insolvent employer and who meet the eligibility requirements determined by the statute. Its purpose is to provide relief to individuals whose employment has been terminated by an insolvent employer who ceases or will cease to operate its business operations.

25. In a receivership, the employee eligibility requirements to receive WEPP payments are set out in s. 5(1) of the WEPPA, which stipulates that the following conditions must be met:

    a. the person's employment has ended for a reason prescribed by s. 3 of the WEPPR (WEPPA, s. 5(1)(a));

b. the former employer is subject to a receivership (WEPPA, s. 5(1)(b)(ii)); and,

c. the individual is owed eligible wages by their former employer (WEPPA, s. 5(1)(c)).

These conditions are determined under the exclusive jurisdiction of the Minister[3], which determination is subject to review by the Minister and to an appeal before the CIRB.[4] The Board's decision is subject to judicial review under the exclusive jurisdiction of the Federal Court of Appeal.[5]

26. The *WEPPA* does not require any Superior Court involvement where the former employer is subject to a receivership. Unlike a proceeding under the CCAA or Division I of the BIA, where a declaration from the Court is required prior to former employees applying to the Program, no such application is needed in the case of a receivership.

27. The Minister has exclusive jurisdiction pursuant to the *WEPPA* to make WEPP eligibility determinations.[6]

28. The Minister must independently assess if eligibility conditions under s. 5(1) of the *WEPPA* are satisfied, as the Quebec Court of Appeal acknowledged in *Former Gestion*.[7]

29. The Receiver describes the question before the Court as "determining whether the Revised RVO had any impact on the eligibility of former employees of Cleo for entitlement to payments under the *Wage Earner Protection Program Act*."[8]

30. The declarations that the Receiver is urging the Court to make on plain reading seek to impact the independence of the Minister in assessing the criteria under section 5(1) of the *WEPPA* by dictating the result that the Receiver believes is appropriate. The declarations sought seek to dictate the legal effect of the RVO transaction on the "eligibility" of applicants, and also to define the time parameters that the Minister must examine and evaluate such a claim.

---

[3] WEPPA s. 9.
[4] WEPPA, s. 12 and 14.
[5] *Federal Courts Act*, RSC 1985, c. F-7, s. 18(1)(b), 28(1)(h) and 28(2).
[6] WEPPA, s 9; see especially French version that says, "[l]e minister décide si le demandeur est admissible au prestations" i.e., the Minister decides if the applicant is eligible.
[7] *Attorney General of Canada c Former Gestion Inc*, 2024 QCCA 1441 at paras 7, 16.
[8] Receiver's Brief of Law, dated September 9, 2026 at para 1(b).

Principles on receivers seeking advice and directions in the form of declaratory relief

31. Where a trustee, or in this case a receiver, seeks advice and direction for declaratory relief or declaratory judgments there are a number of principles that have developed through the jurisprudence including:

    - applications for advice and directions are appropriate to ensure the proper and timely administration of the estate;[9]

    - a court should decline to provide advice and directions on matters that do not directly relate to the receivership;[10]

    - a court should decline to provide advice and directions when the advice and direction would substantively impact proceedings in another jurisdiction before another court which are properly before the court in the other jurisdiction;[11]

    - a court should not issue a declaratory order that would interfere with the jurisdiction assigned to a specialized tribunal;[12]

    - a court should decline to provide directions which has no practical utility;[13]and,

    - a court should decline to make a declaration where the declaration would be useless or embarrasing or where an adequate alternative alternative remedy is available;[14]

32. None of the principles listed above support the declarations sought by the Receiver.

33. The declarations requested do not facilitate the administration of the receivership, concerns a matter falling within the Minister's statutory jurisdiction under the WEPPA, and seeks to address issues for which a specific statutory review process already exists and has been pursued. Moreover, the requested declaration would have no practical utility, as the Minister has already rendered decisions regarding the WEPP Applicants' eligibility and review requests.

---

[9] *Griffiths McBurney & Partners v. Ernst & Young YBM Inc*. 2000 ABCA 284 (CanLII) at para 32.
[10] *Ibid.*, at para 34.
[11] *Ibid*., para 34.
[12] *GLP NT Corporation v. Canada (Attorney General)*, 2003 [O.J. No. 2904], at para 21.
[13] *Iris Technologies v Canada*, 2024 SCC 24, at para 58.
[14] *Griffiths*, Supra 19, para 55

34. The Alberta Court of Appeal in the case of *Canada (Attorney General) v. Ernst & Young Inc.*[15] allowed an appeal of a declaration that was issued in a receivership. The Receiver had sought and obtained a declaration from the court that a disclaimer of interest did not create a new defence for the Attorney General who was involved in separate litigation with other stakeholders. In allowing the appeal, the Court held that there was was no basis to conclude that the receiver was entitled to the declaration it sought, and that the Chambers Judge had erred in relying on the Receivership Order as authority to grant the declaration.

35. In the current receivership, the Receiver has not identified anything in the Receivership Order that would entitle it to the declarations. In these circumstances, the Court should decline to exercise its advisory jurisdiction or grant the declaratory relief sought.

The Court should not make the declaration sought on the impact of the Revised RVO on the claims of the WEPP Applicants

36. It was well known at the time the ARVO was granted that there could be an impact from the revised RVO on the claims of the WEPP Applicants.

37. At the initial application by the Receiver to seek an order approving the RVO transaction before Justice Feasby On October 17, 2025, Crown counsel had advised that there could be an impact on those employees due to the RVO structure, and that determination of eligibility for receipt of WEPP payments was the exclusive jurisdiction of the Minister pursuant the legislation. It was further set out that there was an established path within the legislation for an applicant dissatisfied with the determination to pursue. Following the hearing, additional written submissions to Justice Feasby were provided by the Crown[16] and by the Receiver[17].

38. Justice Feasby did not approve the RVO transaction but did provide leave for a further application. In his written reasons, he clearly expressed his opinion and dislike of the possibility that previous payments to the WEPP Applicants could be clawed back, but also expressly acknowledged that the decision was the Ministers, and that recourse from such a decision was to the CIRB and the Federal Court of Appeal[18].

39. The Receiver's Reply Brief to the Department of Justice Canada dated October 24, 2025 filed in these proceedings included a draft form of order at Appendix "A" which

---

[15] *Canada (Attorney General) v. Ernst & Young Inc.*, 2019 ABCA 180 (CanLII)
[16] Supplement to the First Report of the Receiver, Appendix A
[17] Reply Brief of the Receiver to Department of Justice Canada dated October 24, 2025
[18] *Cleo Energy Corp (Re)*, 2025 ABKB 621, at para 46.

contained proposed wording that is virtually the same to the declaration now being sought[19].

40. At the further application on November 14, 2025, (which proceeded before Justice Bourque), the draft form of Order sought by the Receiver did not include any declarations touching on WEPP eligibility. The Receiver's Second Report filed with the Court to support that application did note that there was the possibility of an impact on the WEPP Applicants as a result of the RVO transaction, and also attached a copy of the written decision of Justice Feasby. The report at paragraphs 18 – 20 states:

> Potential Clawback of WEPP Payments
>
> 18. At the October 17 Application and in its written submission, the DOJ on behalf of ESDC had advised the Court a reverse vesting order transaction could have an impact on employees who received WEPP payments as part of their employment termination in these proceedings.
>
> 19. The Court addressed this in the Reasons for Decision at paragraphs 40 to 46.
>
> 20. The DOJ has been provided a copy of the Revised RVO in advance of filing the Receiver's application and we understand that ESDC takes no position at the application for the Revised RVO.

41. Accordingly, the issue of a potential impact of the reverse vesting order transaction was known and identified before the Court at the time of the November 14, 2025 application. The Receiver did not ask the Court to make any declarations at that time as part of its order, and ESDC did not take a position relating to the ARVO being sought.

Adequate alternative remedy for terminated employees to appeal the Minister's decision

42. The WEPP Applicants did not need to seek any court declaration within the receivership to apply for WEPP, nor was such an application made (or required to be made) by the Receiver.

43. The WEPPA sets out a specific mechanism for an applicant to dispute an eligibility decision they are dissatisfied with. Initially they have a right to request a Ministerial review of the decision, which review can confirm, rescind or vary a determination[20]. If dissatisfied with the result of that review Parliament has set out a prescribed

---

[19] Reply Brief of the Receiver to Department of Justice Canada dated October 24, 2025, Appendix "A"
[20] WEPPA, s. 10

mechanism for an applicant to follow to dispute the decision, namely an appeal to the CIRB.[21]

44. The WEPP Applicants have already engaged in the review process under WEPPA. Each WEPP Applicant sought review of the redetermination decision. The decisions were confirmed by the Minister. They have a clear path available for them should they want to contest the Minister's redeterminations.

45. The WEPPA does not contemplate bringing an application to the Superior Court dealing with the insolvency to contest a decision of the Minister, and in fact strictly prohibits a court from questioning or reviewing that decision.

46. Section 13 of WEPPA[22] provides:

> **Review is final**
> **13** Subject to the right of appeal under section 14, the Minister's confirmation, variation or rescission, as the case may be, is final and may not be questioned or reviewed in any court.

47. Given the engagement of the WEPP Applicants in the administrative review process and the specific restrictions set out in section 13 of WEPPA, the Court should decline to make the declarations sought.

The Court should not make the declaration sought on the timing an employee's entitlement under WEPPA is to be determined

48. There is no specific provision in the WEPPA that specifies how and when the Minister is to consider an applicant's entitlement to the payments from the WEPP.

49. Leave to appeal was granted by the Quebec Court of Appeal[23] in the insolvency of Valeo Pharma Inc. where one of the central questions is in respect of timing of terminations for the purposes of WEPPA.

50. In that case, some but not all employees of *Valeo* were to be transferred to a residual co following an RVO transaction, and other employees had their employment continue with Valeo. The transaction contemplated that the employees transferred to residual co would be terminated in residual co and would then apply for benefits under WEPPA. The Monitor sought an obtained an order from the Quebec Court that the residual co was a former employer within the meaning of para 5(5) of the WEPPA and that the criteria prescribed by s. 3.2 of the

---

[21] WEPPA s. 12
[22] WEPPA, s. 13.
[23] *Attorney General of Canada c. Valeo Pharma inc.*, 2025 QCCA 483 (CanLII)

WEPPR were met, specifically that all the employees of the business were terminated or that those that remained were only to wind up the business and then be terminated.

51. The Quebec Court of Appeal heard the appeal in *Valeo* on September 30, 2025, and reserved their decision. To date that matter is still under reserve.

52. The declaration on the timing of eligibility falls squarely in the Minister's jurisdiction in respect of the WEPP Applicants. Moreover, the Minister has made a decision, and as noted above the WEPP Applicants have pursued the review process provided by WEPPA, and the Minister has provided decisions on the reconsideration requests.

53. The declaration sought by the Receiver is one that appears to be prohibited by s. 13 of WEPPA as in essence it is being sought by the Receiver from the Court in response to the Minister's decision, and for no other apparent purpose.

The declarations sought do not have any purpose within the receivership

54. The declarations sought by the Receiver do not appear to have a purpose in the receivership itself.

55. The Receiver's Fourth Report and the accompanying Brief are clear that the Receiver is of the opinion that the Minister's redetermination decision on entitlement is not correct. However there is nothing in the Application filed by the Receiver, the Receiver's Fourth Report nor the Brief filed by the Receiver that sets out what the declarations it seeks are intended to do within the receivership of 2755857 Alberta Ltd, or otherwise, or how such declarations are needed for the Receiver to complete its duties.

56. The WEPP Applicants have followed the mechanism set out in the Act, namely they sought a review of the decisions by the Minister. The decisions were reviewed and the decisions were confirmed.

57. The path to dispute the review decision is to appeal the decision(s) to the CIRB. This is not only an adequate alternative mechanism, but the only proper one under WEPPA which provides that "subject to the right of appeal under section 14, the Minister's confirmation, variation or rescission as the case may be, is final and may not be questioned or reviewed in any court."

58. Appeals to the CIRB are on the record and no new evidence is admissible[24]. Given the statutory restriction, and the fact that the Ministerial review decisions have

[24] WEPPA s 16.

been made and provided to the former employees, there is no utility the declarations sought would have in any further appeals those WEPP Applicants may pursue, should they choose to do so.

PART V – CONCLUSION

59. The Court does not have jurisdiction to make the declarations sought, or alternatively should decline to make the declarations sought.

60. In the context of the current receivership, the declarations are not required by the Receiver to fulfil any of its duties in administering the estate to its conclusion. It is unclear what utility the declarations the Receiver seeks will have.

61. The WEPP Applicants have already taken steps to dispute the ministerial determinations regarding their eligibility, and have a clear path to appeal such decisions if they choose to do so. The CIRB and the Federal Court of Appeal each are capable of reviewing the factual matrix and determining such appeals.

PART VI – RELIEF SOUGHT

62. The Crown asks that this Court decline to issue the declarations sought concerning the legal effect of the Revised RVO and on the timing of eligibility.

ALL OF WHICH IS RESPECTFULLY SUBMITTED

Dated at the City of Edmonton, in the Province of Alberta this 14th day of September, 2026.



_____

ATTORNEY GENERAL OF CANADA

Department of Justice Canada
Prairie Regional Office
300, 10423 – 101 Street NW
Edmonton, AB T5H 0E7
Fax: (780) 495-3319

Per: Daniel Segal
Telephone: (587) 335-9341
Email: Daniel.Segal@justice.gc.ca

PART VII LIST OF AUTHORITES

a. *Wage Earners Protection Program Act*, S.C. 2005, c. 47

b. *Wage Earners Protection Program Regulations* (SOR/2008-222)

c. *Federal Courts Act*, RSC 1985, c. F-7

d. *Attorney General of Canada c Former Gestion Inc*, 2024 QCCA 1441

e. *Griffiths McBurney & Partners v. Ernst & Young YBM Inc*. 2000 ABCA 284 (CanLII)

f. Canada (Attorney General) v. Ernst & Young Inc., 2019 ABCA 180 (CanLII)

g. *GLP NT Corporation v. Canada (Attorney General)*, 2003 [O.J. No. 2904]

h. *Iris Technologies v Canada*, 2024 SCC 24

i. *Cleo Energy Corp (Re)*, 2025 ABKB 621

j. *Attorney General of Canada c. Valeo Pharma inc*., 2025 QCCA 483 (CanLII)